

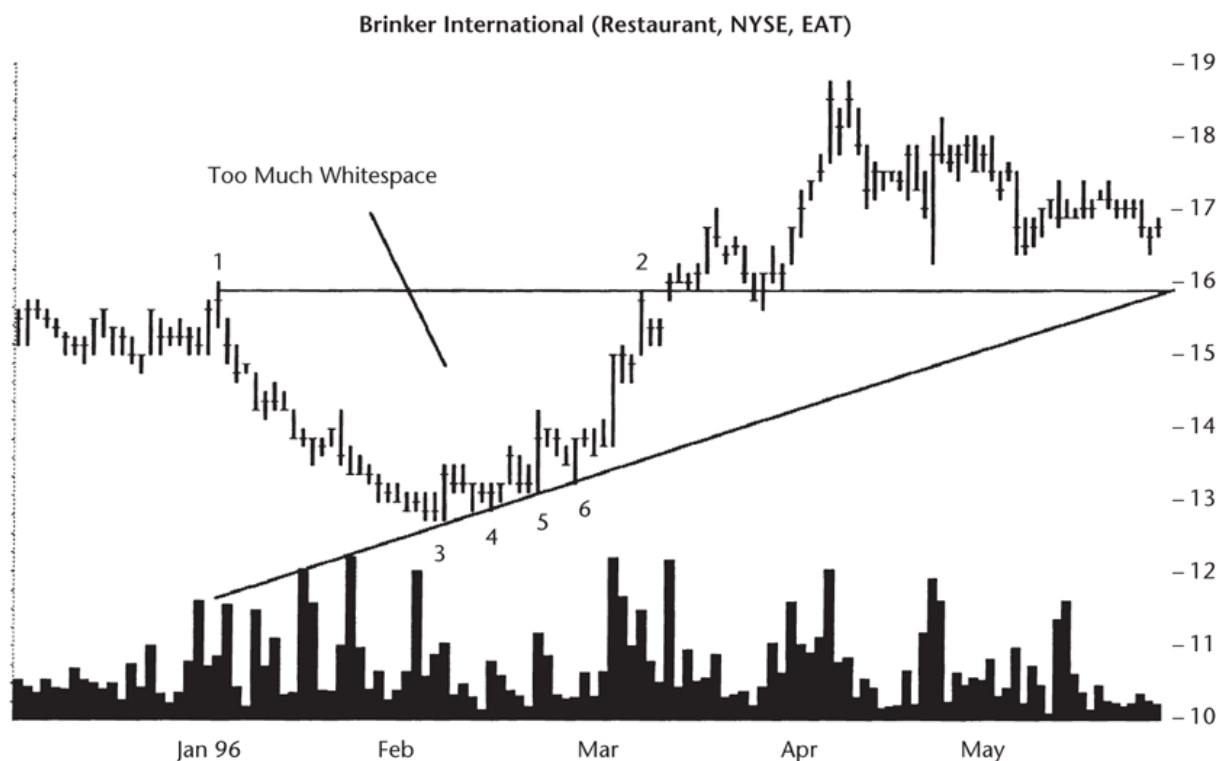


Figure 64.3 This pattern is not a valid ascending triangle. There are not enough crossings between the two trendlines to illustrate a valid triangle construction. The minor highs and lows are numbered.

Wrong.

Contrast [Figure 64.3](#) with [Figure 64.4](#). [Figure 64.4](#) sees price crossing the pattern a number of times, erasing the whitespace. Even though price does not rise very far before throwing back to the triangle apex and moving down, it is still a nicely formed ascending triangle. Also note the generally decreasing volume trend, especially near the breakout.

Focus on Failures

[Figure 64.4](#) shows the first failure type: a 5% failure. Strictly speaking this is not a 5% failure (because price climbs 6%), but it is typical of what one looks like. A 5% failure happens when price breaks out and moves no more than 5% before curling around and shooting out the other side of the triangle.